

2. Economic policy objectives

Topic	Students should be able to:
2.1 Economic growth	Explain: • Economic growth • The policy objective of economic growth • The different stages of the economic cycle • Real and nominal Gross Domestic Product (GDP); changes in GDP over time Explain and calculate: • Economic growth rates • GDP per capita Explain, with the aid of a diagram: • Short run and long run economic growth Evaluate: • Causes and consequences of economic growth in the short run and long run